

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

DANIEL KULACH, *Claimant*

v.

SHEN ZHEN FREE SEA LOGISTICS, LTD., *Respondent*.

DOCKET NO. 2050(I)

Served: June 3, 2026

BEFORE: Debra L. TESH, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION AND SUMMARY OF DECISION

This proceeding arises from a complaint (Claim) and supporting evidence filed by Daniel Kulach (Claimant) against Shen Zhen Free Sea Logistics, Ltd. (Respondent) with the Federal Maritime Commission (FMC or Commission). The Claim alleges Respondent violated 46 U.S.C. § 41102(c) of the Shipping Act in connection with the international transport of commercial machinery from China to the United States.

Claimant asserts he purchased an industrial blow molder on Alibaba from a manufacturer in Taizhou, China, and contracted with Respondent to ship the machinery to the United States. Upon receipt of the cargo at the port of origin in China, Respondent issued a clean bill of lading containing no special packing exceptions, thereby evidencing that Respondent accepted the machinery in good order and condition and that it was adequately packaged at the time of delivery.

Upon arrival and uncrating at the delivery point in the United States, the machinery exhibited significant damage consistent with having been dropped. Claimant alleges he incurred \$7,350 in necessary repair costs to the machinery. Despite Claimant's efforts to resolve the issue, Respondent only offered a nominal USD \$100 on his claim stating the insurance company limited the claim because the damage was attributed to "packaging defects." Furthermore, Claimant asserts that, after he made a formal request for a written claim denial and Respondent's insurance contact and surety bond information, Respondent unilaterally ceased all communications.

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

As set forth in greater detail below, Claimant has not established a violation of the Shipping Act by a preponderance of the evidence. Although the evidentiary record supports a finding that Respondent likely operated as a regulated entity with respect to the shipment at issue, Claimant failed to demonstrate that Respondent's conduct occurred on a normal, customary, and continuous basis as required by 46 C.F.R. § 545.4(b). Accordingly, Claimant has not proven a violation of 46 U.S.C. § 41102(c). The Claim under this section is **DENIED** and **DISMISSED**.

II. BACKGROUND

A. Procedural History

On February 19, 2026, Claimant filed a Claim, statement of facts, exhibit list, and accompanying exhibits² with the Office of the Secretary (OS). OS served a Notice of Filing of Small Claims Complaint and Assignment (NOF) on February 25, 2026. Service upon Respondent was perfected on March 2, 2026. *See* Proof of Delivery. The NOF directed Respondent to file a response to the Claim by March 23, 2026, and indicate consent to adjudication under the informal procedures provided in Subpart S of the Commission's Rules of Practice and Procedure. 46 C.F.R. § 502.301-305.

Respondent failed to file a responsive pleading within twenty-five (25) days as required by the Commission's Rules. 46 C.F.R. § 502.304(e). On April 10, 2026, Claimant emailed the Office of Administrative Law Judges (OALJ) to inquire about the status of the Claim. *See* 4/10/26 Judges Email.

On April 16, 2026, the undersigned was assigned as Small Claims Officer (SCO) and issued an Order to Show Cause (OTSC) requiring Respondent to answer the Claim and show cause why a decision on default should not be entered. The deadline for Respondent's compliance was extended to April 30, 2026. *See* OTSC.

Respondent failed to respond to the OTSC by the extended deadline. Consequently, on May 6, 2026, the undersigned issued an order finding Respondent in default and asking Claimant for additional documents and information. *See* Order Finding Respondent in Default and Requesting Additional Documents and Information (May 6, 2026 Order). The May 6, 2026 Order directed Claimant to respond to the numbered requests for additional information and documents by May 20, 2026. *Id.*

Claimant did not respond to the May 6, 2026 Order by the due date. On May 21, 2026, the OALJ emailed Claimant a status inquiry asking if he intended to respond and whether an extension of time was required. *See* 5/21/26 Judges Email. Claimant did not respond to the email.

² The Exhibit List includes a list of Exhibits A through F, which clearly identify the document title. However, the documents that follow are not marked to correspond with the Exhibit List. The pages associated with Exhibit D, the invoice for repairs, are submitted out of order. For clarity, these pages were reordered to retain the alphabetical designation corresponding with the Exhibit List.

Accordingly, the record is closed and limited to the initial Claim, the attached exhibits and the subsequent procedural documents.

B. Argument of the Parties

Claimant alleges that he purchased a Meto MT-200 PET industrial blow molding machine from a manufacturer in Taizhou, China, through the Alibaba website. In connection with that transaction, Respondent was contracted to ship the machinery to the United States. Claimant asserts that, upon the manufacturer's delivery of the cargo at the port of origin in China, Respondent issued a clean bill of lading indicating that the machinery was received in apparent good order and condition. Notably, the bill of lading was issued with no packing exceptions. Claimant contends that, pursuant to prevailing industry standards, this establishes a presumption that the packaging was adequate for ocean transport.

Upon delivery and uncrating in the United States, Claimant further alleges that the machinery exhibited significant damage consistent with having been dropped during transit. Claimant promptly notified Respondent and asked to initiate a damage claim. Claimant asserts that the cost to repair the machinery was \$7,350, and he made persistent efforts over approximately one year to obtain reimbursement from Respondent.

According to Claimant, he was ultimately offered a nominal USD \$100 on the claim. Respondent cited a limitation of liability based on "packaging defects causing transportation damage," and alleged that the manufacturer only used simple bubble wrap. Claimant disputes this position on two grounds. First, Claimant contends that Respondent cannot accept cargo without a packaging exception and later deny liability based on packaging conditions that were apparent at the time of receipt. Second, Claimant argues that the damage sustained from being dropped would not have been prevented by any reasonable packaging. Following these communications, Claimant formally requested a written insurance denial and Respondent's insurance contact and surety bond information. Thereafter, Respondent ceased all communication. Claimant seeks reparations in the amount of \$7,350 to cover the costs required to repair the machinery.

As previously noted, Respondent failed to respond to the Claim or otherwise rebut Claimant's allegations. As such, Respondent has produced no argument to rebut Claimant's assertions. Respondent was defaulted in the May 6, 2026 Order. *See* May 6, 2026 Order, at pg. 1. A default does not automatically entitle a Claimant to a favorable judgment; a Claimant must still establish that a violation occurred.

III. FINDINGS OF FACT (FF)

1. Claimant, Daniel Kulach, is an individual small business owner located in Illinois, United States. Claim, at ¶ I.
2. Respondent, Shen Zhen Free Sea Logistics, Ltd. is an international logistics company based in Guangdong, China.³ Claim, at ¶ II.

³ Respondent's company is alternately spelled Shenzhen Free Sea Logistics, Ltd.

3. Official notice is taken that Respondent does not appear in the Commission's public ocean transportation intermediary (OTI) licensing database. *See* <https://www2.fmc.gov/oti/> as of 5/29/26; *see also* 46 C.F.R. § 502.226.
4. On October 24, 2024, Respondent issued a non-negotiable bill of lading FSSZ2410376, for pre-paid freight of a blow molding machine from Shanghai, China, to Chicago, United States. The manufacturer is listed as the shipper, and Claimant as the consignee. A separate signature block section states: "Received for shipment in apparent good order and condition. Terms of this bill of lading can be found on the reverse side of the negotiable copy. In witness whereof, the carrier by its agents has signed three (3) original bills of lading all of this tenor and date, one of which being accomplished the others to stand void." The section includes an unsigned signature line for Shen Zhen Free Sea Logistics, Ltd. to sign "as agents only." *See* Claim, at Exhibit B.
5. Claimant's photographs of the mold taken at uncrating depict damage to the control panel, dents in the cabinet, a series of six severely bent valves on the lower panel and bent or collapsed thick steel support footings. *Id.* at Exhibit C1-C7.
6. On November 27, 2024, Claimant contacted Respondent through the Alibaba messenger platform to report that the machinery sustained damage during transit consistent with being dropped. Respondent's representative inquired whether the exterior packaging also exhibited damage. Claimant responded that the machine was wrapped in foam, which would not show impact damage. In response, Respondent's representative asserted that the absence of packaging damage indicates the other cargo in the container did not touch or collide with the machinery in the container during transit. She asked that Claimant test the machinery to determine if it was still functional and stated she would report the damage to the shipping and the insurance companies for further review. *Id.* at Exhibit E1-E2.
7. Between February 10, 2025 and June 28, 2025, KUL Construction & Engineering Management LLC performed "transit impact restoration" on the blow molder. The July 7, 2025, invoices showed repair costs totaling \$7,350. *Id.* at Exhibit D.
8. Between October 21 and 31, 2025, Claimant contacted Respondent several times to inquire about the status of the damage claim filed on November 27, 2024. Respondent's representative asked for the cost of repairs and stated she would provide "feedback" from the insurance carrier. Claimant was eventually informed that the insurance claim was still pending review. *Id.* at Exhibit E3-E4.
9. On November 3, 2025, Claimant contacted Respondent two more times and was advised that the maximum compensation for the claim was limited to USD \$100 due to "packaging defects causing transportation damage." Respondent's representative asserted that the manufacturer only used simple bubble wrap to package the cargo, implying that the lack of proper packaging was at fault for the damage. *Id.* at Exhibit E5.
10. Claimant disputed this determination, arguing that the majority of the damage to the machinery was to the lower support footing caused by being dropped. The damage was

caused by mishandling, and no amount of packaging would have prevented it. *Id.* Claimant re-submitted photographs of the collapsed machine footing. *Id.* at Exhibit E5-E6. Furthermore, Claimant asserted that packaging adequacy is determined by the logistics company at the point of origin and Respondent accepted the cargo as packaged with no exceptions and a clean bill of lading. Claimant asserted that the damage occurred while under Respondent's control and Respondent cannot retroactively deny liability based on packaging inadequacies visible at the time Respondent accepted the cargo. Respondent's representative agreed to file an appeal but stated the claim processing fee is USD \$100. Claimant formally requested a written denial of the claim, the name and contact information for Respondent's insurance carrier and Respondent's non-vessel-operating common carrier (NVOCC) surety bond. *Id.* at E7-E8.

11. On November 4, 2025, Claimant reached out again asking for the same information. Respondent's representative responded "ok," but did not provide the requested information. *Id.* at Exhibit E7.
12. On November 11, 2025, Claimant again requested the insurance and bond information for regulatory filing. Respondent's representative stated, "currently there are no written documents available." *Id.* Claimant asked Respondent, for the record, to confirm whether Respondent is refusing to issue a written denial or provide contact information for Respondent's cargo insurer. *Id.* at E8. Respondent did not reply.

IV. ANALYSIS

A. Burden of Proof

A claimant alleging a violation of the Shipping Act must prove its allegations by a preponderance of the evidence; in other words, demonstrate that the allegations are more probable than not. *See Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *3-4 (FMC Aug. 18, 2021) Order Affirming Initial Decision on Remand. When direct evidence is unavailable, inferences may be drawn from certain facts and circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *Waterman S.S. Corp. v. General Foundries, Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993) adopted in relevant part, 1994 WL 279898, 26 S.R.R. 1424 (FMC June 13, 1994).

B. Alleged Violation of 46 U.S.C. § 41102(c)

Section 41102(c) of the Shipping Act states that a "common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." 46 U.S.C. § 41102(c).

By regulation, the Commission also identified the following elements that must be met to establish a claim under section 41102(c):

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;

- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

1. Regulated Entity

The threshold issue is whether Respondent is a regulated entity within the meaning of the Shipping Act. This requirement is not merely an element of the statute but also establishes FMC jurisdiction. “It is elementary law that a tribunal should determine its jurisdiction before addressing the merits of a controversy brought before it. This principle is especially relevant when the tribunal has limited jurisdiction such as this Commission.” *Crowley Liner Serv., Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Auth.*, Docket No. 00-02, 29 S.R.R. 394, 396, 2001 FMC LEXIS 7, at *9 (ALJ Sept. 20, 2001) (citing *The Government of the Territory of Guam v. Sea Land Serv., Inc.*, 28 S.R.R. 252, 265 (FMC 1998); *River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 762 (FMC 1999); *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1512, 1519 (ALJ 2000)). “Complainants bear the burden of demonstrating that the Commission has jurisdiction to adjudicate their claims.” *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket. No. 15-04, 2019 WL 4734299, at *12 (FMC July 16, 2019) (citing *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 188, 201 (ALJ 1998), *aff’d* 28 S.R.R. 751 (FMC 1999)).

The Shipping Act governs several categories of entities engaged in the international shipment of goods. To satisfy this jurisdictional element of section 41102(c), Claimant must demonstrate that Respondent was operating as a regulated entity - namely, an ocean common carrier, marine terminal operator, or ocean transportation intermediary. 46 U.S.C. § 41102(c). There is no assertion or evidence that Respondent operated a vessel as an ocean common carrier or functioned as a marine terminal operator. *See Claim*. Accordingly, the core question is whether Respondent qualifies as an ocean transportation intermediary (OTI).

An “ocean transportation intermediary” is defined as either an ocean freight forwarder (OFF) or an non-vessel-operating common carrier (NVOCC). 46 U.S.C. § 40102(20). Both OFFs and NVOCCs act as intermediaries between shippers seeking to export cargo and ocean carriers who physically carry the cargo on their vessels. However, the statutory definitions distinguish these roles. *See Landstar Exp. Am., Inc. v. Fed. Mar. Comm’n*, 569 F.3d 493 (D.C. Cir. 2009). Because Respondent is a foreign entity, whether it is an OFF or an NVOCC also determines whether the FMC has jurisdiction over its activities.

An OFF is a person that, in the United States, dispatches shipments from the United States via common carrier and books or otherwise arranges space for those shipments on behalf of shippers and processes the documentation or performs related activities incident to those

shipments. 46 U.S.C. § 40102(19); 46 C.F.R. § 515.2(m)(1). Regulations define “in the United States” as resident in or incorporated or established under the laws of the United States. 46 C.F.R. § 515.3(b).

By contrast, an NVOCC means a common carrier that does not operate the vessels by which the ocean transportation is provided and is a shipper in its relationship with an ocean common carrier. 46 U.S.C. § 40102(17); 46 C.F.R. § 515.2(m)(2). This definition imposes no limitation on the reach of FMC jurisdiction based on the location of the Respondent entity.

In this case, the shipment moved from China to the United States. FF 4. Respondent is a foreign entity incorporated in China and, based upon the limited record, does not appear to maintain any unincorporated subsidiaries or other legal presence in the United States. FF 2. Therefore, Respondent is not “in the United States” and does not meet the definition of an OFF. The FMC would have no jurisdiction over Respondent if its services were limited to freight forwarding. Claims asserted against non-regulated entities are appropriately dismissed. *TZ SSE Buyer, LLC v. COSCO Shipping Lines Co., Ltd.*, Docket. No. 24-09, 2025 WL 1675704, at *4 (ALJ June 2, 2025) (Notice Not to Review, July 3, 2025); *Auction Block Co. v. Fed. Mar. Comm’n*, 606 Fed. App’x. 347, 347-48 (9th Cir., 2015) (“For the Commission to have jurisdiction over an entity, the entity must be acting as a regulated entity in relation to the conduct at issue.”). Accordingly, the FMC would only have jurisdiction over Respondent if it was acting as an NVOCC.

By definition, an NVOCC is a particular type of common carrier that does not operate the vessels by which the ocean transportation is provided, and “is a shipper in its relationship with the ocean carrier.” 46 U.S.C § 40102(17). To conclude that an entity operated as an NVOCC, the entity must meet the Shipping Act’s definition of a common carrier. A common carrier is a person that –

- (i) Holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) Assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) Uses, for all or part of the transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country...

46 U.S.C. § 40102(7). The term “shipper” means –

- (A) A cargo owner;
- (B) The person for whose account the ocean transportation of cargo is provided;
- (C) The person to whom delivery is made;
- (D) A shipper’s association; or
- (E) A non-vessel-operating common carrier that accepts responsibility for payment of all charges applicable under the tariff or service contract.

46 U.S.C. § 40102(23).

The Commission’s well-defined methodology for deciding common carrier status does not turn on the label parties assign themselves but considers the totality of the circumstances and their combined effects. *Worldwide Relocations, Inc. – Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984*, Docket No. 06-01, 2012 WL 11914713, at *5 (FMC Mar. 15, 2012) (*Worldwide*); see also *Activities, Tariff Filing Practices and Carrier Status of Containerships, Inc.*, 9 F.M.C. 56, 62-65 (FMC Sept. 28, 1965) (“it is important to consider all the factors present in each case and to determine their combined effect” and to “look beyond documentary labels.”); *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2019 WL 4734299, at *12 (FMC July 16, 2019) (“The central question in this case is whether, and when, Marine Transport was a regulated entity – common carrier, marine terminal operator, or OTI – with respect to the conduct at issue.”). It is also necessary to examine the entity’s conduct in connection with a particular shipment, which is a “fact intensive inquiry.” *Worldwide*, 2012 WL 11914713, at *5.

The third requirement, that an entity use a vessel operating on the high seas for all or part of the transportation is satisfied. The bill of lading FSSZ2410376 establishes that the machinery was shipped with CMA CGA from Shanghai, China, to Chicago, United States. FF 4. While the requirement to use ocean carriage has been met, Claimant has the burden of establishing all requirements.

As for “holding out,” the Commission noted that relevant considerations include the manner in which the entity held itself out to customers through advertisement or solicitation, the terms of contractual agreements, the content of other documentation, whether it published a tariff, and whether it assumed the responsibilities of a common carrier with respect to the cargo. *Worldwide*, 2012 WL 11914713, at *6. The Commission has also ruled that issuing a bill of lading alone may demonstrate a course of conduct sufficient to establish assumption of responsibility. *Logfret, Inc. v. Kirsha, B.V.*, Docket No. 18-10, 2019 WL 4689188, at *14 (FMC Sept. 17, 2019).

In considering whether the entity “assumed responsibility,” the Commission looks to, among other things, the description of NVOCC services in 46 C.F.R. § 515.2(k) which includes, but is not limited to, the following types of activities:

- (1) Purchasing transportation services from a common carrier and offering such services for resale to other persons;
- (2) Payment of port-to-port or multimodal transportation charges;
- (3) Entering into affreightment agreements with underlying shippers;
- (4) Issuing bills of lading or other shipping documents;
- (5) Assisting with clearing shipments in accordance with U.S. government regulations;
- (6) Arranging for inland transportation and paying for inland freight charges on through transportation movements;
- (7) Paying lawful compensation to ocean freight forwarders;

- (8) Coordinating the movement of shipments between origin or destination and vessel;
- (9) Leasing containers;
- (10) Entering into arrangements with origin or destination agents;
- (11) Collecting freight monies from shippers and paying common carriers as a shipper on NVOCC's own behalf.

46 C.F.R. § 515.2(k).

In the present proceeding, the evidentiary record provides scant information to determine Respondent's regulatory status concerning the shipment at issue. While Claimant asserts that Respondent operated as an NVOCC, the Claim fails to articulate a factual basis for this position. Claim, at ¶ II. In the May 6, 2026 Order requesting additional information and documentation, the undersigned expressly referenced the regulated entity requirement of section 41102(c) and directed Claimant to substantiate his assertion that Respondent is an NVOCC and submit evidence in support; however, Claimant failed to respond to the request. *See* May 6, 2026 Order. Therefore, the undersigned is limited to review of the exhibits provided with the initial Claim to determine Respondent's regulatory status.

With respect to whether an entity "holds itself out" as an NVOCC, the record permits only limited inferences. In the present case, Claimant provided no advertisements or statements of reliance to assert Respondent was holding out as an NVOCC in arranging for transportation of the molder at the time of purchase. Even the booking process remains unclear regarding whether transportation was arranged by the manufacturer or whether Claimant selected Respondent from a variety of available logistics providers.

Nevertheless, while there is no evidence of public advertising or marketing, the Commission has held that determination of regulatory status is a fact specific inquiry and can be satisfied in various ways. *See Worldwide*, 2012 WL 11914713, at *5. Respondent acted as the sole point of contact for the shipment. When Claimant reported the damage from the machinery being dropped during transit, Respondent agreed to investigate the issue and did not disclaim responsibility or direct Claimant to a third party such as an NVOCC or the vessel carrier. FF 6. At no point in subsequent communication did Respondent claim to be a freight forwarder or any other type of entity. FF 8-10. While these communications provide little evidence regarding public holding out, they do support an inference that Respondent viewed its role as an NVOCC and held itself out as such to Claimant.

Turning to the next consideration, whether Respondent assumed responsibility for transportation of the cargo, the record contains a non-negotiable bill of lading FSSZ2410376 bearing the name Shen Zhen Free Sea Logistics, Ltd. as issuer. FF 4. Issuing a bill of lading is consistent with Respondent acting as an NVOCC and assuming responsibility for the cargo. At the same time, the signature block acknowledging receipt of the cargo "in apparent good order and condition" includes a statement that "the carrier by its agents has signed three (3) original bills of lading..." and provides a signature line for Respondent to sign "as agents only," which typically indicates an agency rather than carrier role. FF 4. In the May 6, 2026 Order, the undersigned directed Claimant to produce a copy of the reverse side of the document to determine

whether the terms and conditions would shed additional light on Respondent's assumption of responsibility; however, Claimant failed to respond to this directive. *See* May 6, 2026 Order. The bill of lading, standing alone, provides mixed evidence regarding Respondent's status as an NVOCC.

Notwithstanding the ambiguity in the bill of lading language, the record suggests Respondent assumed responsibility for the cargo in communications with Claimant. Respondent purportedly submitted a claim with its insurer and, at no point, disclaimed liability for the loss. Moreover, the insurer made a determination on the claim and concluded that recovery was limited to USD \$100, rather than denying coverage altogether. FF 4, 6, 8-11.

Although the evidentiary record is sparse, Claimant must only establish the jurisdictional facts by a preponderance of the evidence. On balance, the record demonstrates that it is more likely than not that Respondent operated as an NVOCC with respect to the shipment at issue. While Respondent's actions in isolation may be insufficient to establish Respondent is a regulated entity, the Commission views the totality of circumstances in determining status. *Worldwide*, 2012 WL 11914713, at *5. Considering the record as a whole, Claimant has narrowly satisfied his burden to establish that Respondent operated as a regulated entity within the meaning of the Shipping Act.

2. Normal, Customary, and Continuous

The next requirement for a section 41102(c) violation is that Respondent's conduct occurred on a normal, customary and continuous basis. In its rulemaking for 46 C.F.R. § 545.4, the Commission clarified that section 41102(c) is not intended to cover an isolated incident, but rather a pattern of behavior on a "normal, customary, and continuous basis." 46 C.F.R. § 545.4(b). The types of business practices appropriately adjudicated under section 41102(c) involve practices that "negatively affect the broader shipping public." *MAVL Capital, Inc. v. Marine Transport Logistic, Inc.*, Docket No. 15-04, 2021 WL 4554718, at *18 (FMC Sept. 29, 2021) initial decision on remand (citing *Notice of Proposed Rulemaking: Interpretive Rules, Shipping Act of 1984*, 83 Fed. Reg. 45367, 45368 (Sept. 8, 2018)).

The Commission articulated that it was rejecting a line of cases that held "discrete conduct with respect to a particular shipment, if determined to be unjust and unreasonable, represents a violation of section 41102(c), regardless of whether that conduct represents a respondent's *practice or regulation*." *Id.* (emphasis in original). The Commission explained, "[t]hese decisions diverge from consistent Commission precedent dating back to 1935 and reaffirmed as recently as 2001 which required that a regulated entity must engage in practice or regulation on a *normal, customary, and continuous* basis in order to be found to have violated § 41102(c) of the Shipping Act." *Id.* (emphasis in original). The Commission reiterated this intent in the final rule stating the rule "was never intended to be a method of resolving every dispute that arises in the receiving, handling storing or delivering of cargo." *Interpretive Rule, Shipping Act of 1984 (Final Rule)*, 83 FED. REG. 64478, 64479 (Dec. 17, 2018). Instead, the Commission articulated that a violation of section 41102(c) historically requires a showing that, "... the unreasonable regulation or practice was the normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting business." *Id.* (citations omitted). "Commission precedent has made it clear that

a single shipment or isolated act or omission does not show a pattern or practice.” *See Crocus Investments, LLC v. Marine Transportation Logistics, Inc.*, Docket. No. 15-04, 2021 WL 3732849, at *8 (FMC Aug. 18, 2021) (citing *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight Int’l Inc.*, Docket No. 17-02, 2020 WL 5406762 (FMC Sept 1, 2020)).

The Commission recognized that this interpretation would limit the types of claims that may be brought before the Commission, but determined this interpretation aligns more closely with the purposes of the Shipping Act. The Commission noted that traditional legal venues to adjudicate contract law, agency law or admiralty law would continue to be available to parties injured by a discrete instance of unreasonable and unjust conduct. *See Notice of Proposed Rulemaking: Interpretive Rules, Shipping Act of 1984*, 83 Fed. Reg. 45367 (Sept. 8, 2018).

In this proceeding, Claimant asserts Respondent violated 46 U.S.C. § 41102(c) in two respects. First, Claimant alleges the machinery was damaged in Respondent’s custody and control. Second, Claimant asserts Respondent failed to cooperate with the claims process and withheld insurance and surety bond information, thereby preventing him from pursuing recovery through this avenue. *See Claim.*

With respect to Claimant’s liability claim, the record establishes that Respondent was engaged to transport the cargo from Shanghai to Chicago. FF 4. The bill of lading expressly states the cargo was received in “apparent good order and condition” at the port of origin and contains no notation of special packing exceptions. *Id.* Respondent did not refuse the cargo or offer additional packaging or repackaging services. Instead, Respondent accepted the cargo for shipment. As such, Respondent implicitly deemed the packaging to be sufficient at the time it assumed responsibility for the cargo. In addition, photographs showing the complete collapse of at least one steel structural footing appear to exhibit damage consistent with mishandling and not a result of inadequate packaging.

The Claimant also argues Respondent engaged in an unjust and unreasonable practice of failing to communicate or cooperate with a claim against Respondent’s surety bond.

In communications between the parties, Respondent did not deny responsibility for the cargo. Rather, Respondent purportedly filed a claim with its insurance carrier who subsequently determined that liability existed but was limited to USD \$100 due to “packaging defects.” FF 6, 8-11.

On November 27, 2024, Claimant promptly notified Respondent that the molder had been damaged during transit and that the damage was consistent with having been dropped. FF 6. Respondent asked whether there was any damage to the exterior packaging to which Claimant responded that it was wrapped in foam, which would not necessarily show impact damage. Respondent stated that, because the packaging was not damaged, the cargo did not touch or collide with other items in the container. Respondent’s representative stated she provided pictures of the damage to the shipping company and the insurance company for further review. *Id.* Respondent provided no claim number or other confirmation to support that an insurance claim had been filed.

After the November 27, 2024 communication, the record shows Respondent initiated no further contact with Claimant regarding the purported insurance claim until Claimant reached out to Respondent to inquire about the status on October 21, 2025, nearly a full year later. FF 8. At this time, Respondent's representative asked the amount of repairs and stated she would seek "feedback." *Id.*

Claimant sent additional messages to Respondent over the next several days until Respondent replied that the insurance claim was "pending approval." FF 8. On November 3, 2025, Claimant messaged Respondent asking how long it would take for the approval. Respondent advised Claimant that the insurance company limited the claim to USD \$100 due to 'packaging defects.' FF 9. Claimant disputed the limitation and Respondent again agreed to follow up. FF 10.

On November 11, 2025, when there was no substantive response, Claimant requested a copy of the written denial and contact information for the insurer and Respondent's NVOCC bond and surety so that he could pursue the claim directly. Respondent replied, "currently there are no written documents available." Claimant continued to request written documentation of the claim and insurance and bond information. Respondent then stated that there was a USD \$100 processing fee to appeal. Claimant asked a third time for documentation and Respondent ceased communications. FF 11, 12.

The record contains no documentary evidence confirming that an insurance claim was ever filed. Respondent failed to communicate any actions for nearly a year and then repeatedly refused to provide Claimant with a written determination of the insurance denial or provide Claimant with the necessary information so that he could access his right to file a claim under 46 C.F.R. § 515.23. Respondent's collective lack of transparency, failure to communicate or provide insurance and bonding information raise serious concerns regarding Respondent's conduct. Nevertheless, the Commission has held that it is not enough to show an unjust and unreasonable practice in an isolated event. To satisfy the intent of the provision in the Shipping Act, the practice must be on a normal, customary and continuous basis that impacts the broader shipping industry. *MAVL Capital, Inc. v. Marine Transport Logistic, Inc.*, Docket No. 15-04, 3 F.M.C.2d 135, 155-56, 2021 WL 4554718, at *18 (FMC Sept. 29, 2021) initial decision on remand (citing *Notice of Proposed Rulemaking: Interpretive Rules, Shipping Act of 1984*, 83 Fed. Reg. 45367, 45368 (Sept. 8, 2018)).

Even assuming Respondent acted as an NVOCC and handled Claimants damage claim in an unjust and unreasonable manner, Claimant has not established the alleged conduct occurred on a normal, customary, and continuous basis as required by 46 C.F.R. § 545.4(b). The record concerns only a single shipment of cargo and contains no evidence that Respondent engaged in a practice of failing to produce insurance and surety bond information to claimants. Commission precedent makes it clear that an isolated incident is insufficient to establish a violation of section 41102(c). Accordingly, Claimant has failed to establish a violation of the Shipping Act by a preponderance of the evidence and is not entitled to reparations.

V. ORDER

Claimant does not demonstrate that Shen Zhen Free Sea Logistics, Ltd. violated section 41102(c) of the Shipping Act. It is therefore:

ORDERED that Claimant's request for reparations against Shen Zhen Free Sea Logistics, Ltd. be **DENIED**. It is

FURTHER ORDERED that Claimant's claims against Shen Zhen Free Sea Logistics, Ltd. be **DISMISSED**.

Debra L.
Tesh -S



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Debra L. Tesh -S
Date: 2026.06.03
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Debra L. Tesh
Small Claims Officer